Lean Canvas Model

Problem

- Time-consuming to manage manual registration.
- Difficult to keep track of the completion of badge requirements to take the King Scout Test.
- Difficult to manage the King Scout test result and notify the result to student.

Solution

- Develop a management system to manage the membership registration and keep track the student badge and King Scout Test result and notify the result.

Key Metric

- Numbers of students making membership registration.

Unique Value Propositions

- Digital platform for membership registration
- A platform to view the King Scout result and notify the result via WhatsApp

Unfair Advantage

- Integration with external users to update real-time King Scout result with notifications.

Channels

- Website
- Recommendations
- Referral Programs

Customer Segments

- Scout Users:
  - Student
  - Teacher
  - State King Scout Evaluation Council

Cost Structure

- Hosting for domain name registration
- Website Development for content management system
- Maintenance for security Update
- Equipment and Software Licenses

Revenue Stream

- Subscription Fee
- Customization and Integration Fees



CSP 650 Project : LECTURE 03

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Introduction

The **Lean Canvas** is a business modeling tool created to help deconstruct a startup idea into its key and most risky assumptions.

Deeply influenced by the lean startup methodology, the Lean Canvas servers as a tactical plan to guide entrepreneurs navigate their way from ideation to building a successful startup.

The Lean Canvas model's nine blocks visually represent the basic elements of your business. This visual format makes the Lean Canvas easy to update as you go, which is crucial for any startup in its early stages — when it's most important to get a product out as soon as possible, experiment and learn, and then iterate.

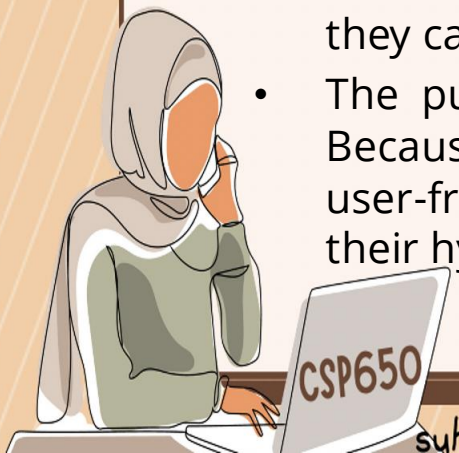


Why Lean Canvas Model?

- It is really important for any kind of entrepreneur, to put their ideas on paper, so it's possible for every stakeholder to be aware of the goals and threats of the project. That's the best way to make everyone think of solutions and accomplish the aimed results. But this process needs to overcome two challenges:

1. **Translate your thoughts into some language.** It is complicated to translate what's in our mind into words, in a clear and assertive way. Often, the opposite takes place: everything gets even trickier when concepts must become something concrete and visible.
2. **The time this translation can take**. Traditional business plans usually take weeks – sometimes even months – for elaboration. This may become a waste of time and energy. Especially when we consider that the market and the scenario where your business is can change in a few days. When we think of an unexpected crisis, they can transform drastically.

- The purpose of Lean Canvas is precisely to solve both problems. Because this method is based on practical principles, with a simple user-friendly visual language, which allows the entrepreneurs to test their hypotheses more efficiently.



Lean Canvas Template

STUDENT NAME: _____ SUPERVISOR : _____

PRODUCT NAME: _____ SIGNATURE : _____

LEAN MODEL CANVAS

PROBLEM List your top 1-3 problems **EXISTING ALTERNATIVES** List how these problems are solved today	**SOLUTION** Outline a possible solution for each problem **KEY METRICS** List the key members that tell you how your business is doing	**UNIQUE VALUE PROPOSITION** Single, clear, compelling messages that states why you are different and worth paying attention **HIGH-LEVEL CONCEPT** List your X for Y analogy e.g. YouTube – Flickr for videos	**UNFAIR ADVANTAGE** Something that cannot easily be bought or copied **CHANNEL** List your path to customers (inbound or outbound)	**CUSTOMER SEGMENTS** List your target customers and users **EARLY ADOPTERS** List the characteristics of your ideal customers
COST STRUCTURE List your fixed and variable costs			**REVENUE STREAMS** List your sources of revenue	



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Problem

1.Problem: when you want to sell a solution (whether a product or a service), there should be a demand, in other words, at least one identifiable problem. Every customer segment you are going to define has its own problems, and it's your business's purpose to solve them. You are going to build your whole canvas over this building block. This section, then, must contain up to three priority problems.



Customer Segments

Customer Segments: perhaps this is the first building block for you to establish. Because probably the first step to understanding your business will be to discover who your customer is. After all, you can only get to know what are the problems you are going to solve when you know the ones who face them. Thus, if there is more than one customer segment, you ought to develop one canvas for each.



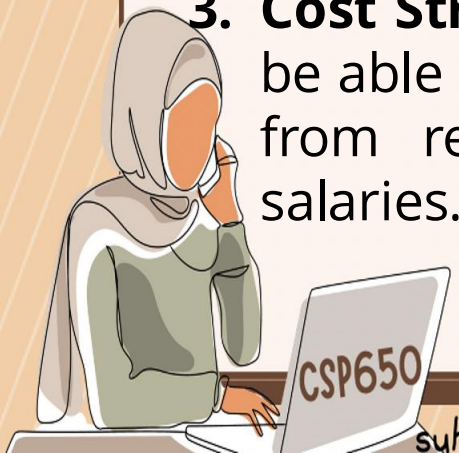
Unique Value Proposition and Solution

1. **Unique Value Proposition**: This block shows how your business differentiates from others, what the value your customer will only have through your product or service, and no one else. Therefore, list what makes your brand stand out over the competition – i.e., why your customer must buy from you rather than your rival.
2. **Solution**: now that you know what and whose the problem is, it's time to offer the solution. It must stand for the minimum set of functionalities and features (Minimum Viable Product) that allows you to deliver the value proposition from the previous block.



Channels, Revenue Streams and Cost Structure

1. **Channels**: here, you have to inform the means you are going to use to reach your audience. That includes all marketing, communication, and distribution channels that you intend to adopt, both from traditional and digital media.
2. **Revenue Streams**: ask yourself "how much will my customer pay for my product/service?". The price and the payment system was chosen are a very important part of your offer. That can mean the success or failure of your venture.
3. **Cost Structure**: gather here all the costs needed for you to be able to sell your product. You should list all the expenses, from research and development to monthly fees and salaries.



Key Metrics and Unfair Advantage

1. **Key Metrics**: it's imperative for you to get to know what metrics you are going to apply when measuring your business's performance. That's the only way you may monitor the team towards the results.
2. **Unfair Advantage**: ask your team "what does this business/product/service have, that no one else does?". This is possibly the most difficult question in the whole canvas. The answer has to be something that cannot be copied, mimicked, or acquired – that is unique in the market. It's challenging, but it's an essential matter, mainly if you intend to use the canvas for attracting partners and investors.

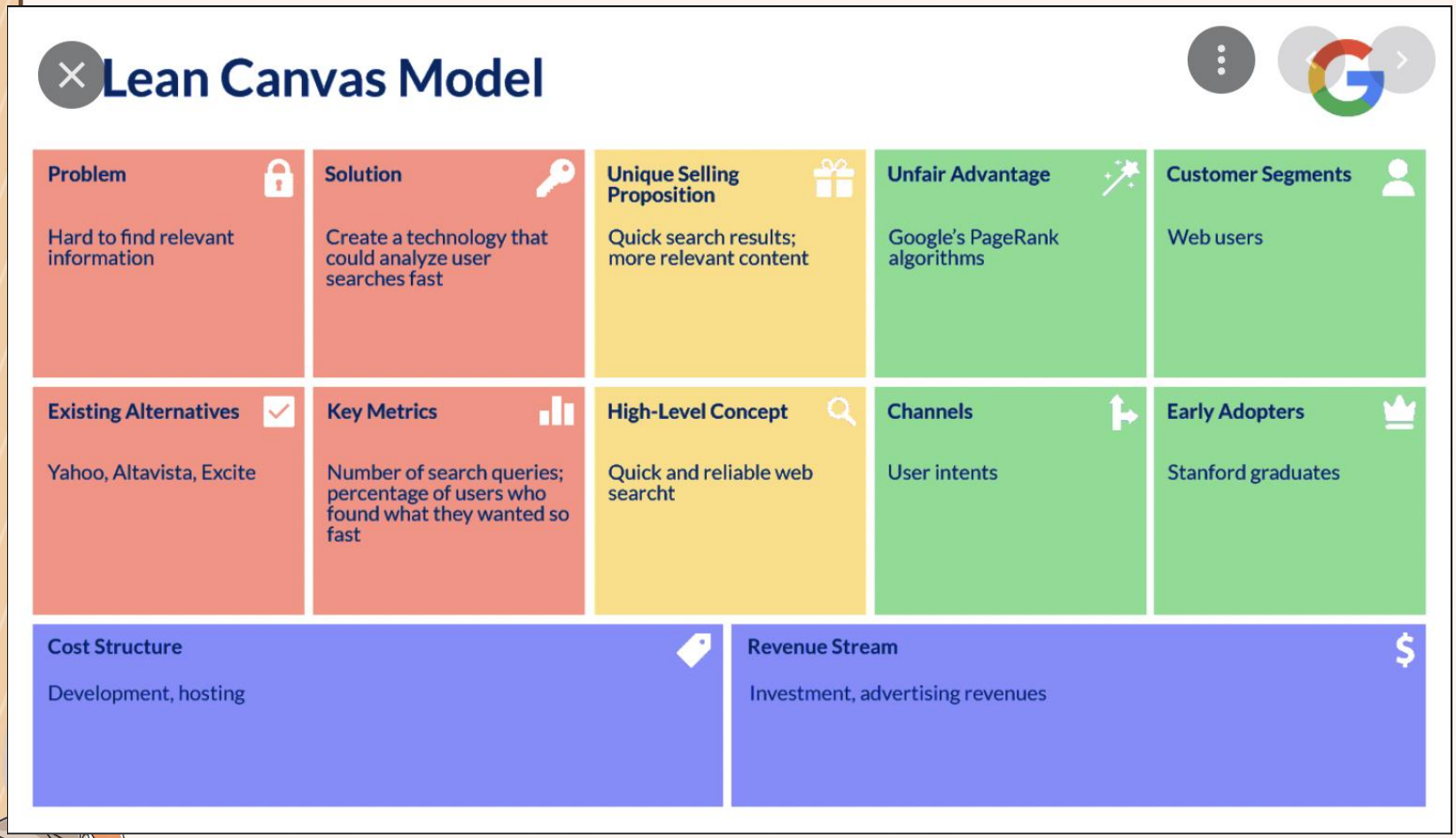


Benefit of LCM

- **Focus on the solution**. Especially when compared to complicated typical business plans, Lean Canvas permit the stakeholders to adjust their focus on problem-solution relation. That makes the hypotheses simpler and clearer.
- **User-friendly design.** This one-page canvas encourages all the team members to take part in the development and fulfillment of ideas. Also, there is little space available – on purpose – what compels to reduce the analysis to what is completely fundamental, leaving aside unconnected and trivial data.
- **From entrepreneurs to entrepreneurs.** The method has been created by businesspeople. They are aware that the business plan is for the company owner and team – it will seldom be present to outsiders. Therefore, there is no need to waste time and energy in details and accessories.



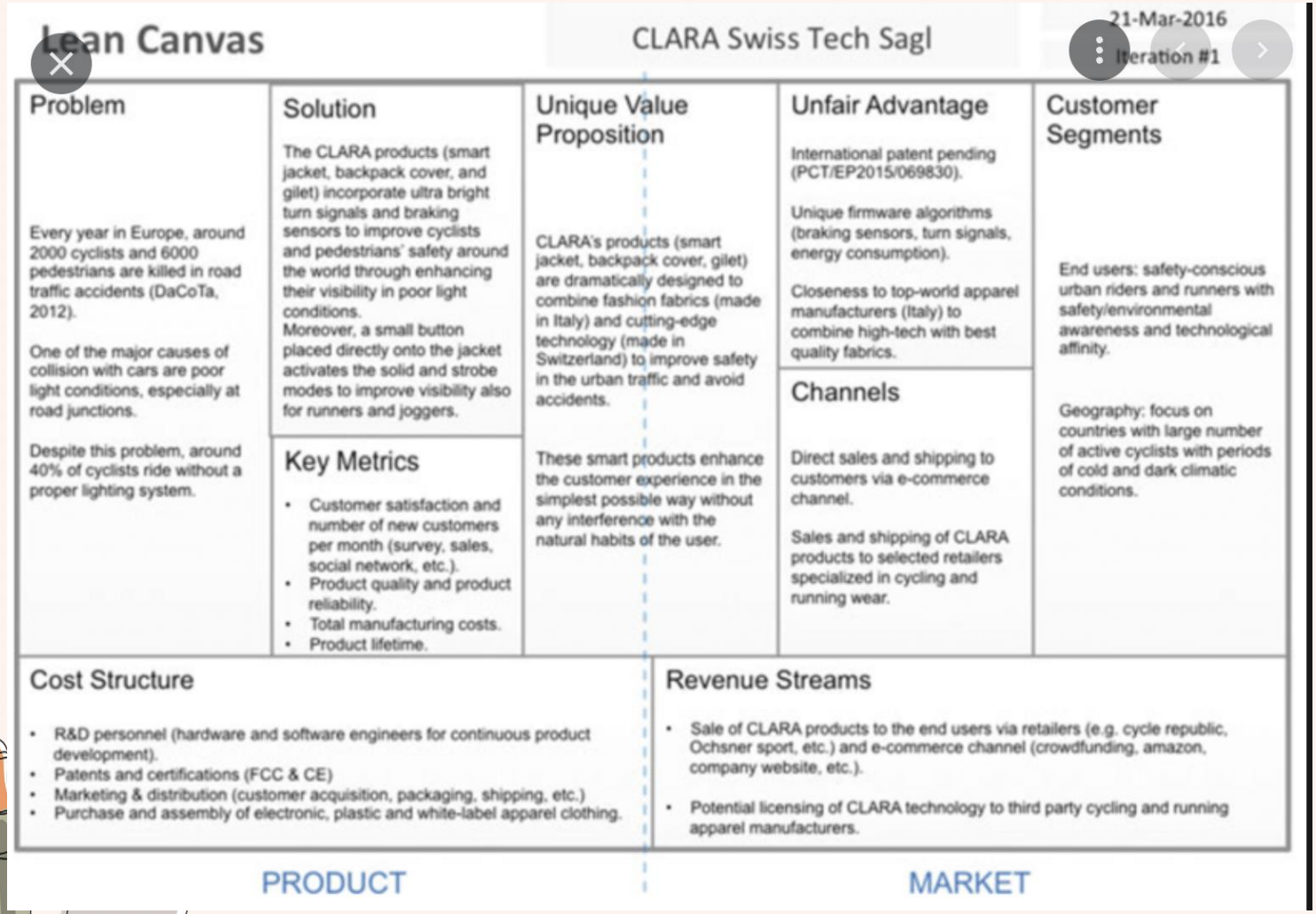
Example of LCM





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Example of LCM



Lean Canvas

CLARA Swiss Tech Sagl

21-Mar-2016

Iteration #1

Problem

Every year in Europe, around 2000 cyclists and 6000 pedestrians are killed in road traffic accidents (DaCoTa, 2012).

One of the major causes of collision with cars are poor light conditions, especially at road junctions.

Despite this problem, around 40% of cyclists ride without a proper lighting system.

Solution

The CLARA products (smart jacket, backpack cover, and gilet) incorporate ultra bright turn signals and braking sensors to improve cyclists and pedestrians' safety around the world through enhancing their visibility in poor light conditions.
Moreover, a small button placed directly onto the jacket activates the solid and strobe modes to improve visibility also for runners and joggers.

Key Metrics

- Customer satisfaction and number of new customers per month (survey, sales, social network, etc.).
- Product quality and product reliability.
- Total manufacturing costs.
- Product lifetime.

Unique Value Proposition

CLARA's products (smart jacket, backpack cover, gilet) are dramatically designed to combine fashion fabrics (made in Italy) and cutting-edge technology (made in Switzerland) to improve safety in the urban traffic and avoid accidents.

These smart products enhance the customer experience in the simplest possible way without any interference with the natural habits of the user.

Unfair Advantage

International patent pending (PCT/EP2015/069830).

Unique firmware algorithms (braking sensors, turn signals, energy consumption).

Closeness to top-world apparel manufacturers (Italy) to combine high-tech with best quality fabrics.

Channels

Direct sales and shipping to customers via e-commerce channel.

Sales and shipping of CLARA products to selected retailers specialized in cycling and running wear.

Customer Segments

End users: safety-conscious urban riders and runners with safety/environmental awareness and technological affinity.

Geography: focus on countries with large number of active cyclists with periods of cold and dark climatic conditions.

Cost Structure

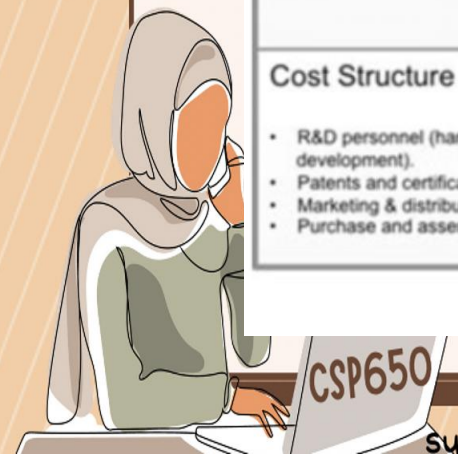
- R&D personnel (hardware and software engineers for continuous product development).
- Patents and certifications (FCC & CE)
- Marketing & distribution (customer acquisition, packaging, shipping, etc.)
- Purchase and assembly of electronic, plastic and white-label apparel clothing.

Revenue Streams

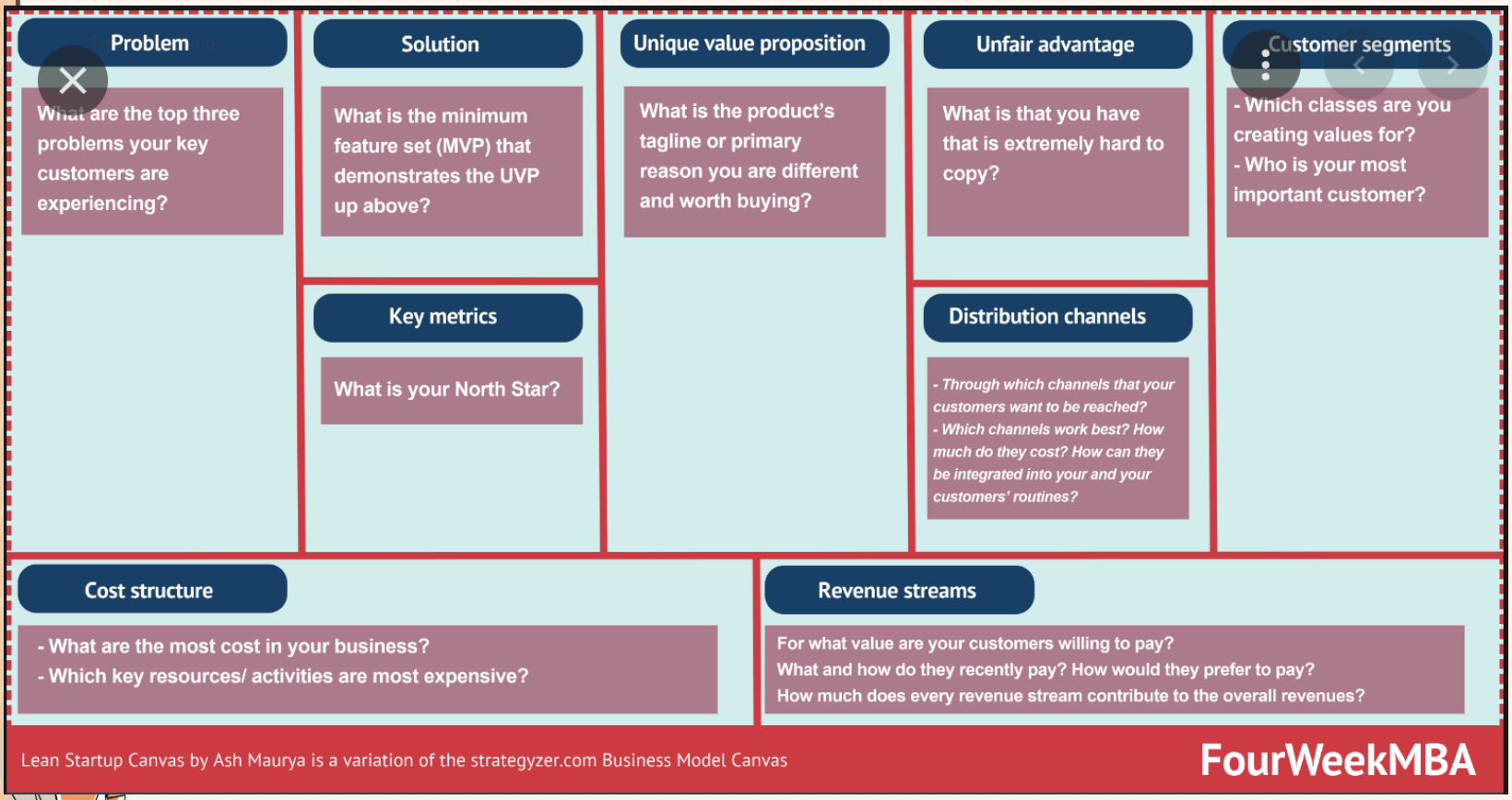
- Sale of CLARA products to the end users via retailers (e.g. cycle republic, Ochsner sport, etc.) and e-commerce channel (crowdfunding, amazon, company website, etc.).
- Potential licensing of CLARA technology to third party cycling and running apparel manufacturers.

PRODUCT

MARKET



Example of LCM





Example of LCM



KEY PARTNER

Bag Workshop

Logistic

Fabric Printing

Local Artist/Illustrator

KEY ACTIVITIES

Producing Bags

Marketing

Responding Customer

Shipping orders

KEY RESOURCES

Freelance Packing and Shipping personnel

VALUE PROPOSITIONS

Pride by having unique bag which match their need

CUSTOMER RELATIONSHIPS

After sales service

Responsive services

Bonuses

Discounts

CHANNELS

Website

Social Media

Online Marketplace

Anime Events

CUSTOMER SEGMENTS

Female and Male

16 – 25 years old

Middle-Up

Income/Pocket Money Rp2,000,000.00 above /month

Live in Big Cities

Collect *anime* merchandise (official and fan-made)

Like to show-off

COST STRUCTURE

Production Cost

Personnel Cost

Artist Profit Sharing

Logistic Cost

Marketplace Fee

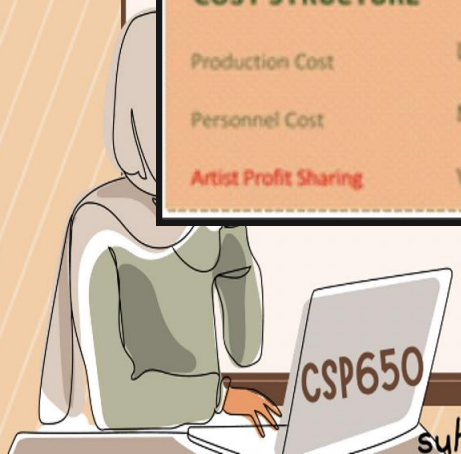
Website Maintenance

Promotion Cost

Customer Acquisition

REVENUE STREAMS

Product Sales



Example of LCM

KEY PARTNERS

- University
- Microprocessor's company
- Cloud computing service provider
- Current partners



10th – IT INFRASTRUCTURE

- 3G/4G networks
- Wi-fi connection
- NFC
- Android and IoS platform
- Cloud: SaaS
- MQTT protocol

KEY ACTIVITIES

- Development of IoT hardware
- Development of embedded software, app and cloud
- Software maintenance
- Product distribution in points of sales or online
- Product assembling, testing and packaging

KEY RESOURCES

- SW/HW development teams
- Consulting services for patents and marketing
- Financial resources

VALUE PROPOSITION

B2C market
-Managing home access by third parties
-No cost to generate extra keys
-Managing remote keys
-Increasing home's safety (e.g.: built-in alarms)

B2B market

- Managing corporate access by third parties
- Managing remote keys to clients anytime, anywhere
- No cost to generate extra keys
- Increasing corporate safety

CUSTOMER RELATIONSHIPS

- Product website/blog/chat
- Social networks
- Product app
- Phone
- Business trade fairs

CHANNELS

- Marketplaces
- Partners' channels

CUSTOMER SEGMENTS

B2C market
Domestic users familiar with IT and resident in big cities

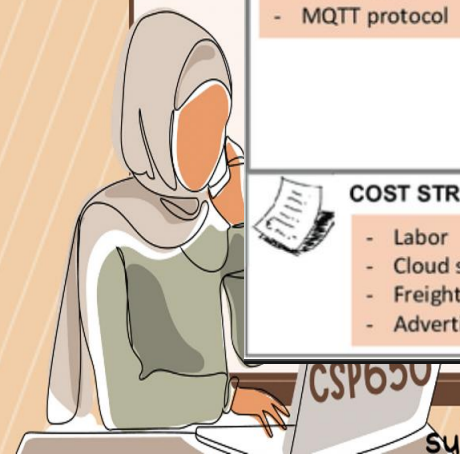
B2B market
Corporate users, mainly hotels and real state agencies

COST STRUCTURE

- Labor
- Cloud services (monthly fee)
- Freight, storage, distribution
- Advertising

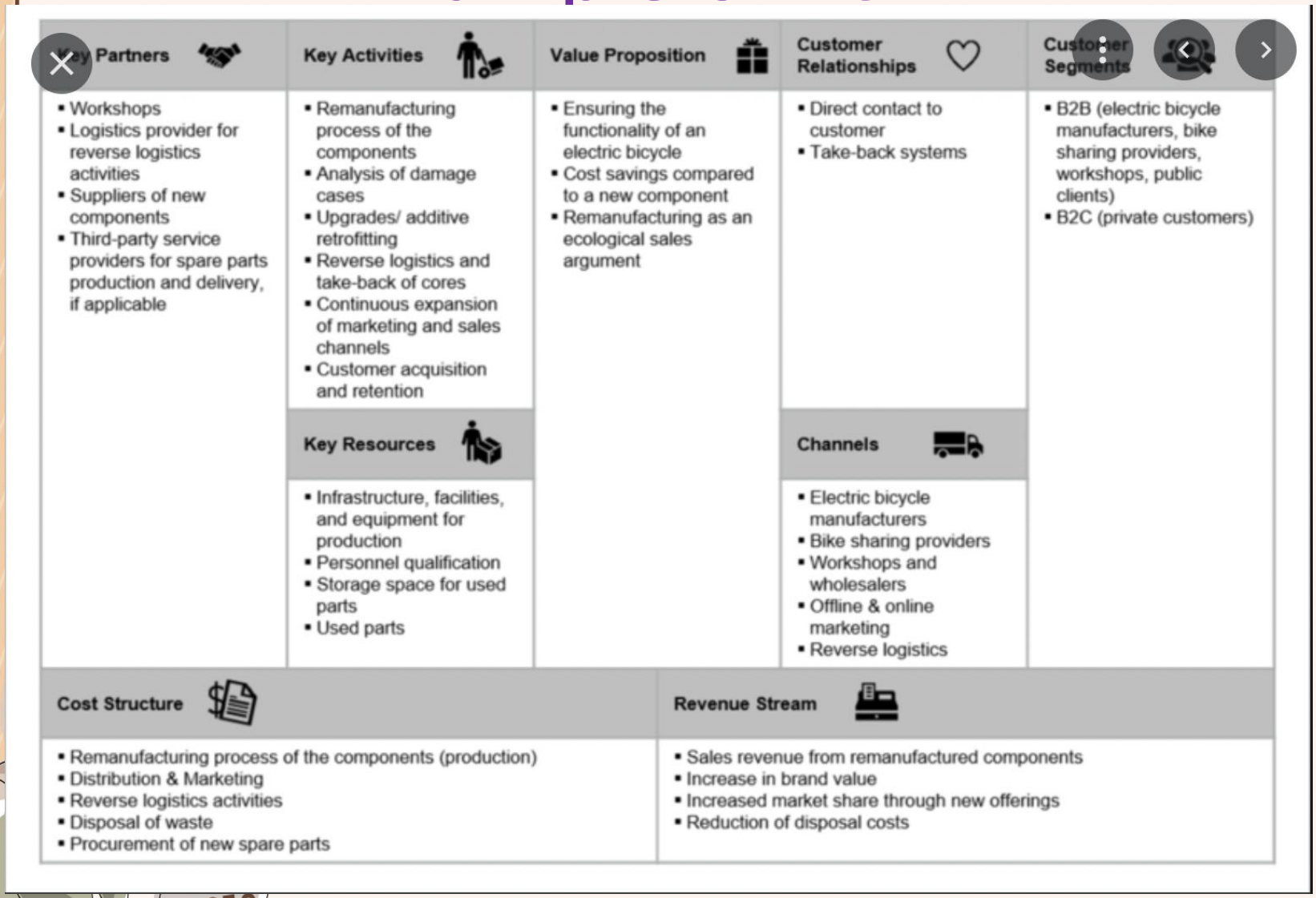
REVENUE STREAMS

- Fee from additional services, such as extra keys or detailed information
- Equipment rental
- OEM sales



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Example of LCM



Key Partners	Key Activities	Value Proposition	Customer Relationships	Customer Segments
• Workshops • Logistics provider for reverse logistics activities • Suppliers of new components • Third-party service providers for spare parts production and delivery, if applicable	• Remanufacturing process of the components • Analysis of damage cases • Upgrades/ additive retrofitting • Reverse logistics and take-back of cores • Continuous expansion of marketing and sales channels • Customer acquisition and retention	• Ensuring the functionality of an electric bicycle • Cost savings compared to a new component • Remanufacturing as an ecological sales argument	• Direct contact to customer • Take-back systems	• B2B (electric bicycle manufacturers, bike sharing providers, workshops, public clients) • B2C (private customers)
	Key Resources • Infrastructure, facilities, and equipment for production • Personnel qualification • Storage space for used parts • Used parts		**Channels** • Electric bicycle manufacturers • Bike sharing providers • Workshops and wholesalers • Offline & online marketing • Reverse logistics	

Cost Structure	Revenue Stream
• Remanufacturing process of the components (production) • Distribution & Marketing • Reverse logistics activities • Disposal of waste • Procurement of new spare parts	• Sales revenue from remanufactured components • Increase in brand value • Increased market share through new offerings • Reduction of disposal costs



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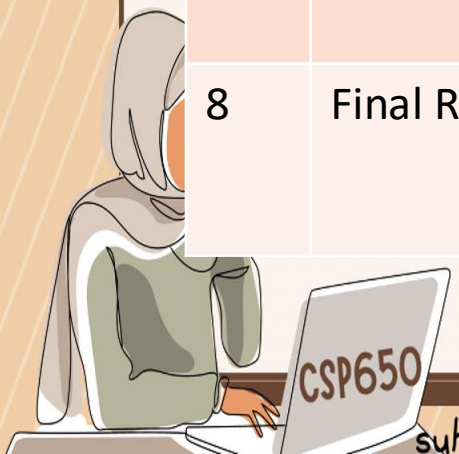
To – do for this week

- Please draft your LCM according to your FYP and submit to your supervisor.
- Please update chapter 1-3 and submit to your supervisor.
- Please finalized your title and supervisor's name.
- Upload LCM in the given drive link (week 5, refer important dates)



Gentle Reminder

NO	ITEM	Submit to Supervisor	Submit to CSP Lecturer
1	SRS & SDD (Draft)	Week 1 - 2	(Friday) Week 2
2	Updated Chapter 1-3	Week 2 - 3	(Friday) Week 4
3	Lean Canvas Model	Week 3 - 4	(Friday) Week 5
4	F5 (consultation form)	Week 5	(Friday) Week 6
5	Chapter 4 (Draft)	Week 6 - 7	(Friday) Week 8
6	Chapter 5 (Draft)	Week 8	(Friday) Week 9
7	Progress Presentation Slides	Week 8 – 14 (according to schedule)	Present to CSP lecturers according to schedule
8	Final Report (Thesis)	Week 12 - 14	18 July 2025 – Friday 8am – 12 noon (Week 15)



Thank you!



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